trades, now has the job to develop and regulate the commodity futures market.

FMC

The Forward Markets Commission (FMC) is a statutory body set up under the *Forward Contracts (Regulation) Act, 1952*. It functions under the administrative control of the Department of Consumer Affairs, Ministry of Consumer Affairs, Food & Public Distribution. Headquartered at Mumbai with one regional office at Kolkata, the Commission comprises a Chairman, and two members. The Commission provides ***regulatory oversight*** in order to ensure –

(i) Financial integrity (i.e., to prevent systematic risk of default by one major operator or group of operators);

(ii) Market integrity (i.e., to ensure that futures prices are truly aligned with the prospective demand and supply conditions), and

(iii) Protection and promotion of the interest of consumers/non-members.

After assessing the market situation and taking into account the recommendations made by the *Board of Directors of the Commodity Exchange*, the Commission approves the rules and regulations of the ***Commodity Exchanges*** in accordance with which trading is to be conducted. It accords permission for commencement of trading in different contracts, monitors market conditions continuously and takes remedial measures wherever necessary by imposing various regulatory measures. At present, there are 21 commodity exchanges in India including three ***'national level'*** exchanges recognized for conducting futures/forward trading. The three national exchanges are –

1. Multi-commodity Exchange of India Ltd. (MCX), Mumbai.
2. National Commodity and Derivatives Exchange Ltd. (NCDEX), Mumbai.
3. National Multi-commodity Exchange of India Ltd. (NMCE), Ahmedabad.

In US, which has the *largest* commodity futures market, there are separate regulators for equities and commodities. Single regulator exists in China,